growth could backfire, ultimately reducing retirement sustainability relative to what a longer bond ladder could have supported.

At the extreme, we saw before that the current yield curve for Treasury STRIPS could support twenty-eight years of spending at a 4 percent initial spending rate with a 2 percent spending COLA. Creating a twenty-eight-year ladder, then, would ensure twenty-eight years of spending but leave nothing in the growth portfolio for potential expenses beyond this horizon. Shorter ladders allow more to be left in the growth portfolio, creating possibilities that this spending might be supported for more than twenty-eight years as well as possibilities that this spending could ultimately be supported for less than twenty-eight years. Seeking growth means running the risk that the necessary funds will not be available.

The implication of all this is that dynamic asset allocation is not really of any concern. Simply, the portion of assets needed to build the desired bond ladder as the percentage of available assets determines the bond allocation. Retirees can focus on this bond ladder and not worry about their overall asset allocation. If this percentage fluctuates wildly and unpredictably, so be it. Efforts to maintain a less volatile asset allocation would instead require letting the bond ladder length fluctuate more dramatically.

Equity exposure moves you away from the guarantee that your plan will work, but it gives you a chance to meet spending goals that extend beyond what the yield curve can support. By building an income floor at the front end of the portfolio, retirees have assets dedicated to meeting their spending needs over an eight-year (or whatever length is chosen) horizon, and then the remainder of the portfolio is invested for long-term growth. Assets are dedicated to the purpose they are best suited for: bonds generate predictable cash flows, and stocks provide less predictability but more growth potential.

Time Segmentation Is a Probability-Based Approach

As for the debate between the probability-based and safety-first schools of thought for retirement income planning, I view time segmentation as a hybrid between the two that falls closer on the spectrum to the probability-based school. Time segmentation generally relies on the idea of "stocks for the long run," as there is a degree of comfort that the growth portfolio will provide sufficient returns to maintain retirement sustainability. According to